

August 30, 2025

**SUBMITTED VIA CFTC PORTAL**

Secretary of the Commission  
Office of the Secretariat  
U.S. Commodity Futures Trading Commission  
Three Lafayette Centre  
1155 21st Street, N.W.  
Washington, D.C. 20581

**Re: KalshiEX LLC – Amendment to Schedule II of Form Market Maker Agreement**

Dear Sir or Madam,

KalshiEX LLC (“Kalshi” or “Exchange”) hereby notifies the Commodity Futures Trading Commission (“CFTC”) that pursuant to Kalshi Rule 4.1, Section 5c(c) of the Commodity Exchange Act (the “Act”), and Section 40.6(a) of the regulations of the Commodity Futures Trading Commission, it is amending Schedule II to its 2025 Market Maker Program (“Program”) with the purpose of promoting liquidity and orderliness on the Exchange, by adjusting benefits and obligations available to Market Makers within the scope contemplated by the Program, and describing additional markets within the scope of the Program.

The Program explicitly provides for periodic amendments to Schedule II to meet Exchange liquidity needs. In accordance with the terms of the Program: Schedule II will be consistent for all participants in Kalshi’s 2025 Market Maker program; Kalshi shall give written notice of any amendment to this Schedule II to Market Maker and all other participants in the 2025 Market Maker Program; and upon any change to the Liquidity Conditions for a Covered Product, a Market Maker may (without penalty) opt out of that Covered Product by giving written notice to Kalshi. The amendment’s effective date may be retroactive to the self-certification filing date, in order not to disincentivize new participants in the Program during the pendency of the filing. All other aspects of the program shall remain the same.

The changes to the Program are intended to provide additional specificity and granularity with respect to Liquidity Conditions for live events that are already subject to the Program, to better reflect and accommodate the changing conditions associated with meeting liquidity obligations in live events. The Exchange anticipates that the Program, as amended, will further encourage volume and liquidity on the Exchange in a sustainable manner, and focus incentives to where they are most beneficial to the Exchange.

**Compliance with Core Principles**

Kalshi has concluded that the Program is not inconsistent with the CEA and the CFTC’s regulations. Kalshi has identified the following core principles as most directly relevant to the Program: **Core Principles 2, 4, 9, 12, and 19**. Core Principle 2 requires DCMs to establish, monitor, and enforce compliance with the rules of the Exchange, including rules regarding access,

contract terms and conditions, and rules prohibiting abusive trade practices. Core Principle 4 requires DCMs to have the capacity to prevent manipulation, price distortion, and disruption of the cash-settlement process, among other things, through market surveillance, compliance, and enforcement practices and procedures. Core Principle 9 requires DCMs to provide a competitive, open, and efficient market and mechanism for execution. Core Principle 12 also requires DCMs to establish and enforce rules to protect markets and market participants from abusive practices and to promote fair and equitable trading on DCMs. Core Principle 19 requires that DCMs avoid adopting any rules or taking any actions that result in unreasonable restraints of trade. This submission complies with these Core Principles.

The Program will continue to be governed by and administered in accordance with the Exchange Rulebook. Chapter 4 of the Rulebook sets forth rules and provisions for market maker programs on the exchange, including terms dictating eligibility to become a market maker, requirements and terms of designation as a market maker, benefits to market makers, obligations of market makers, and market maker position accountability levels and position limits.

Kalshi Rule 3.13(f) allows Kalshi to create programs that provide incentives to Participants that encourage trading, and the Program as amended is consistent with this. The Program is anticipated to remain economically sustainable and the Program will not negatively impact Kalshi's satisfaction of the financial resources requirements. Kalshi retains the right to end the Program at any time, including in the event that it deems the Program to be not economically beneficial to the Exchange.

Kalshi accordingly certifies that the Program as amended complies with the requirements of the Commodity Exchange Act and the rules and regulations promulgated thereunder, and certifies that, concurrent with this filing, a copy of this submission was posted on the Kalshi website and may be accessed at: <https://kalshi.com/regulatory/notices>.

If you have any questions or comments or require further information, please do not hesitate to contact me.

Sincerely,

Richard Heaslip  
Chief Regulatory Officer  
KalshiEX LLC  
[rheaslip@kalshi.com](mailto:rheaslip@kalshi.com)

Enclosure:

Appendix A - Amended Schedule II (clean) (Confidential)

Appendix B - Amended Schedule II (changes tracked) (Confidential)

FOIA Request for Confidential Treatment